

COVER STORY
LEAD ESSAY

COST OF THE IR

By **TEAM INDIA TODAY** / *Illustration by* **NILANJAN DAS**

Three weeks into the Iran war, and the International Energy Agency has already declared that the energy asset disruption in the oil-rich Middle East is equivalent to the two major oil crises of the 1970s and the 2022 natural gas crisis after Russia invaded Ukraine put together. Worse, while the war started on February 28 with Israel and the US combining forces to decapitate Iran's top leadership and defang its nuclear and missile prowess, it now threatens to include a wider arc of countries and become an all-out regional conflagration. The global economy has already taken a beating, with growth slowing down and inflation soaring, bringing back unhappy memories of the economic freefall that the COVID-19 pandemic triggered six years ago.

Unlike the ongoing Russia-Ukraine conflict, India is already experiencing the adverse impact of the Iran War. That's because we import around 85 per cent of our crude oil, with 55-60 per cent coming from the Gulf, and over 40 per cent of this supply transiting through the Strait of Hormuz, the single chokepoint now becoming the heart of the battle. India's dependence extends to gas: it imports 60 per cent of its LPG; about half of LNG imports also travel via the same route. Beyond energy, the Gulf is central to India's external balance of payments, with 10 million Indians living and working in the region, and repatriating nearly $50 billion (Rs 4.67 lakh crore) annually, roughly a third of the total NRI remittances. Trade linkages remain equally strong, with the region accounting for about 15–17 per cent of India's exports, while also supplying key inputs like fertilisers and petrochemicals that feed directly into agriculture and industry. The Iran conflict disrupts all these channels simultaneously. Every $10 rise in crude oil adds roughly $12–15 billion to India's import bill, exerting pressure on inflation, the rupee and the current account deficit. At the same time, shipping risks through Hormuz raise freight and insurance costs, amplifying price shocks even without fuel supply cuts.

The fallout is already being felt across major sectors. At the macro level, economic growth is likely to slow down under the weight of rising energy costs and inflation. On the ground, LPG shortages and fuel price spikes are hitting households directly, while industry faces higher input costs. The Modi government was quick to step in, diverting commercial supply of LPG cylinders to households,